

# Robinhood Markets, Inc.

HOOD NASDAQ

|      |                 |                              |                                     |                        |
|------|-----------------|------------------------------|-------------------------------------|------------------------|
| Hold | \$97.06 ▼ 2.32% | 12M Price Target<br>\$105.00 | 52-Week Range<br>\$63.52 – \$153.86 | Market Cap<br>\$87.26B |
|------|-----------------|------------------------------|-------------------------------------|------------------------|

## HOOD: Crypto Chill and S&P Snub Weigh on Sentiment

### WHAT HAPPENED

- Reddit got added to the S&P 500 and is popping 11% pre-market — HOOD did NOT get the nod, and that's likely a big reason it's slipping today. Getting into the S&P forces every index fund on earth to buy your stock, so missing out is a real "what could have been" moment for HOOD holders.
- Coinbase is down and dragging the whole crypto-broker cohort with it. HOOD now gets ~25% of revenue from crypto, so when COIN sneezes, HOOD catches a cold.

### WHY IT MATTERS

The S&P snub is the real story — traders had been front-running an inclusion trade for weeks, and today's dip is that hot money leaving. But here's the flip side: HOOD still meets most inclusion criteria (profitable, liquid, US-domiciled), so it's likely a "when not if" — meaning any deeper pullback becomes a setup for the next inclusion cycle review. The bigger picture: the Trump administration's crypto-friendly stance (CLARITY Act passed, SEC dropped its enforcement-first approach) has been rocket fuel for HOOD's crypto and tokenization business — that tailwind is still fully intact, today's move is noise, not signal. Watch the put flow though: someone's buying \$111-114 strike puts aggressively, which suggests smart money is hedging near-term downside into what could be a choppy August.

### POLICY & POLITICAL WATCH

The regulatory setup is about as good as it gets for HOOD right now — the CLARITY Act (which finally defined which crypto tokens are securities vs. commodities) removed years of legal ambiguity, and the SEC under the new administration has greenlit tokenized equities, which HOOD is actively rolling out in the EU and pushing to launch stateside. Watch for the Section 899 "revenge tax" debate and any prediction market legislation — HOOD's event contracts business (sports, elections) is a sleeper growth driver that could get either blessed or crushed depending on how the CFTC rules land this fall. Net-net: the regulatory wind is at HOOD's back in a way it simply wasn't 18 months ago.

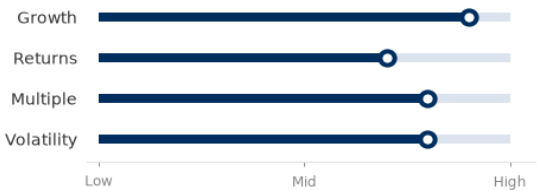
### IS IT EXPENSIVE?

At \$97, you're paying roughly 52x next year's earnings — meaning \$52 for every \$1 of profit — versus the S&P at ~22x and Schwab at ~20x. That's expensive, but HOOD is growing revenue 40%+ while Schwab grows single digits, so the premium isn't crazy IF crypto stays hot and the options business keeps compounding. The stock sits at just 37% of its 52-week range (\$63-\$154), which tells you the froth has already come out — it's not cheap, but it's not the euphoric top either.

### Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$97.06  |
| 12M Price Target    | \$105.00 |
| Upside / (Downside) | +8.2%    |
| Market Cap          | \$87.26B |
| FY2026E Revenue     | \$4,200M |
| FY2027E Revenue     | \$5,100M |
| FY2026E EPS         | \$1.85   |
| FY2027E EPS         | \$2.40   |
| Fwd P/E             | 52.5x    |

### INVESTMENT PROFILE



### 12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$110.00  | \$98.00   | \$85.00   |
| 6 Months  | \$130.00  | \$105.00  | \$78.00   |
| 1 Year    | \$160.00  | \$115.00  | \$70.00   |
| 2 Years   | \$200.00  | \$140.00  | \$60.00   |
| 5 Years   | \$300.00  | \$180.00  | \$50.00   |
| 10 Years  | \$500.00  | \$250.00  | \$40.00   |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Energy is on fire (+7% in 5 days) — that's the tariff/OPEC dynamic plus summer demand. Utilities catching a bid on AI-datacenter-power thesis.

**COOLING OFF:** Consumer Discretionary is limping (-0.9% over 5 days) — tariff pass-through hitting retail is the read, and Walmart/Target earnings this week will confirm or deny.

**ROTATION WATCH:** Money is rotating OUT of speculative fintech (HOOD, COIN) and INTO defensive names and energy — classic late-summer risk-off setup ahead of Jackson Hole and September Fed meeting.

**RELATED PLAY:** If HOOD's tokenization thesis plays out, the real winners might be the plumbing — think crypto custodians, stablecoin issuers (Circle), and the exchanges themselves (CME for regulated crypto derivatives).

WHO'S WINNING IN THIS SPACE?

- RDDT (Reddit): Just got S&P 500 inclusion — automatic 8-11% pop from forced index fund buying. This is the trade HOOD holders wish they had.
- IBKR (Interactive Brokers): Grinding higher on the same options/retail-trading tailwinds as HOOD but at a much cheaper multiple (~25x earnings vs HOOD's 52x).

**HOOD CONTEXT:** HOOD is lagging its peer group today specifically because of the S&P snub, not fundamentals. That's actually a decent signal — when a stock drops on flow/technical reasons rather than business deterioration, the pullback tends to be shorter-lived. But it also means HOOD needs a new catalyst (earnings beat, S&P re-consideration, crypto rally) to reclaim leadership.

WHAT I'D DO WITH THIS STOCK

**6/10** Conviction Score

**Position Size:** 2-4% of portfolio

**Entry Points:** \$85-90 on crypto pullbacks

**Time Horizon:** 12-24 months

**Thesis Invalidation:** Sustained crypto bear market or reversal of CLARITY Act / SEC crypto rules

**Hedging:** Buy protective puts or pair against COIN